ANDEAN PACT

A regional pact to establish a common market link, started originally in 1969. At present it has Peru, Equador, Columbia, Bolivia, and Venezuela. The pact had almost collapsed by the mid-1980s due to regional, economic, and political instabilities and was re-launched in 1990 (the original member Chile was dropped and the new member Venezuela was added to it).

ANIMAL SPIRIT

'Confidence', considered as one of the essential ingredients of economic prosperity was called by J. M. Keynes as animal spirit. For Keynes, this is a 'naive optimism' by which an entrepreneur puts aside the fact of loss as a healthy man puts aside the expectation of death.

But from where does this animal spirit come has been a mystery–can it be created artificially from outside or whether it is an innate thing some are born with, etc.

ANTITRUST

A category of the government policy which deals with monopoly. Such laws intend to stop abuses of 'market power' by big companies and at times to prevent corporate mergers and acquisitions that would strengthen monopoly. The US has such laws and recently it was in news when Microsoft was its target.

APPRECIATION

It shows increase in value and is used in economics in the following two senses:

(i) It is an increase in the price of an asset over time–such as price rises in land, factory building, houses, offices, etc. It is also known as